Table 1. Bosnia and Herzegovina: Public Sector Debt Sustainability Analysis (DSA)

(In percent of GDP unless otherwise indicated)

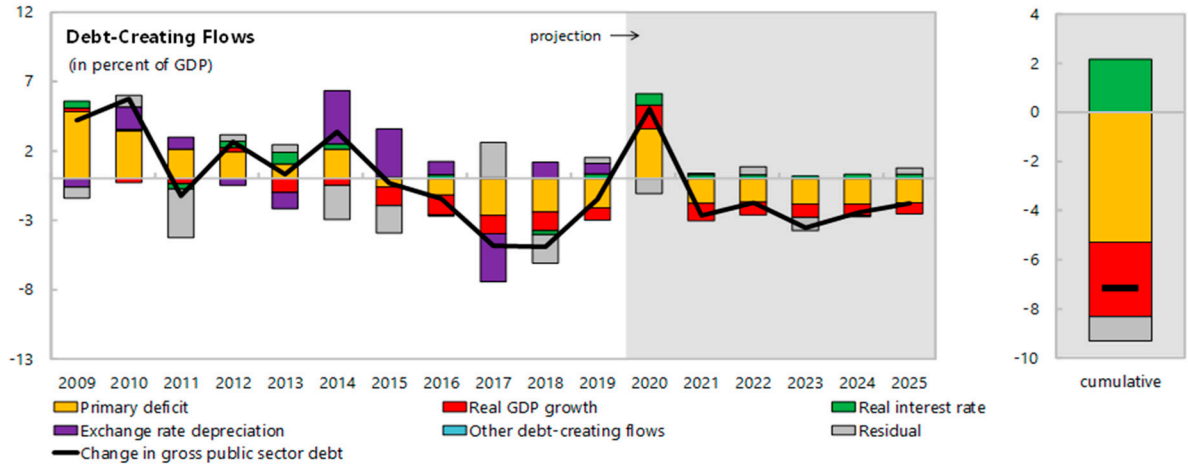
Debt, Economic and Market Indicators [1/]

	Actual			Projections					
	2011-2017 [2/]	2018	2019	2020	2021	2022	2023	2024	2025
Nominal gross public debt	42.7	34.3	32.8	37.9	35.2	33.5	29.9	27.5	25.7
Public gross financing needs	4.2	2.7	1.2	7.5	3.6	4.4	6.4	5.7	6.0
Real GDP growth (in percent)	1.9	3.6	2.7	-5.0	3.5	2.8	2.9	2.9	3.0
Inflation (GDP deflator, in percent)	1.2	2.8	1.1	-0.3	1.3	1.3	1.7	1.8	2.0
Nominal GDP growth (in percent)	3.1	6.5	3.8	-5.3	4.8	4.2	4.6	4.7	5.1
Effective interest rate (in percent) [4/]	1.8	2.0	2.2	2.1	2.1	2.2	2.3	2.9	3.3

As of December 31, 2019		
Sovereign Spreads		
EMBIG (bp) 3/		0
5Y CDS (bp)		0
Ratings	Foreign	Local
Moody's	B3	B3
S&Ps	B	B
Fitch	B	B

Contribution to Changes in Public Debt

	Actual			Projections							
	2011-2017	2018	2019	2020	2021	2022	2023	2024	2025	cumulative	debt-stabilizing primary balance [9/]
Change in gross public sector debt	-0.2	-4.9	-1.5	5.0	-2.7	-1.8	-3.6	-2.4	-1.8	-7.1	
Identified debt-creating flows	0.4	-2.9	-1.9	6.1	-2.8	-2.4	-2.6	-2.3	-2.2	-6.2	
Primary deficit	0.4	-2.4	-2.1	3.6	-1.8	-1.7	-1.8	-1.8	-1.8	-5.3	-0.5
Primary (noninterest) revenue and grant	43.3	43.0	43.1	40.8	43.0	43.0	43.1	43.0	43.0	255.9	
Primary (noninterest) expenditure	43.7	40.6	41.0	44.3	41.3	41.3	41.3	41.2	41.2	250.6	
Automatic debt dynamics [5/]	0.0	-0.5	0.2	2.6	-1.0	-0.7	-0.7	-0.5	-0.5	-0.9	
Interest rate/growth differential [6/]	-0.5	-1.6	-0.5	2.6	-1.0	-0.7	-0.7	-0.5	-0.5	-0.9	
Of which: real interest rate	0.3	-0.3	0.4	0.8	0.3	0.3	0.2	0.3	0.3	2.2	
Of which: real GDP growth	-0.8	-1.3	-0.9	1.7	-1.3	-0.9	-0.9	-0.8	-0.8	-3.0	
Exchange rate depreciation [7/]	0.6	1.2	0.7	...	...	...	...	...	...	...	
Other identified debt-creating flows	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
General Govt - Financing - Privatization	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Residual, including asset changes [8/]	-0.6	-2.0	0.4	-1.1	0.1	0.6	-1.0	-0.1	0.4	-1.0	



Source: IMF staff.

1/ Public sector is defined as general government.

2/ Based on available data.

3/ Long-term bond spread over German bonds.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as $[(r - \pi(1+g) - g + ae(1+r)]/(1+g+\pi+g\pi))$ times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as $r - \pi (1+g)$ and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as $ae(1+r)$.

8/ Includes asset changes and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.

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